

HOW TO CHANGE SETTINGS ON CHART?

We will now talk about changing the length of different moving averages on TradingView and ChartInk. On ChartInk.com, we will select the moving averages option on the top left and then select the checkboxes to make them appear. Upon changing the parameters in the adjoining box, the numbers here will denote the length of the moving average. A parameter of 50, will mean a 50DMA and a parameter of 20 will mean a 20DMA.

Next on TradingView, we will go to functions where we can add indicators and oscillators. Here we can search and add moving averages on the chart. Once we have a moving average added to the chart, its details appear on the top left corner of the chart. Clicking on the small settings button at the top left corner of the chart will open a pop-up box where we can make changes to the length of the moving average.

LAGGING INDICATORS

Moving averages react to price changes with a delay as they require some time before they can catch the last closing price. As a result, with moving averages, we will see that a few pairs of moving averages produce delayed signals i.e. they act as lagging indicators. This is particularly the case with long term DMA crossovers, for instance with 50DMA and 200DMA.

Certain other pairs produce less delayed crossovers. As a result, it is an art for the analyst to create a system that ensures that the moving average pair in use does not produce delayed or lagging signals. An analyst should spend time experimenting with different time frames in moving averages and check if their crossovers create reliable signals for the time frame that they are looking to trade.